

DUTIES OF TRUSTEES FOR PAYMENT OF DEBTS.

UNDER this head we shall treat, — *First*, Of the *validity* of a trust for payment of debts; *Secondly*, What creditor deeds are *revocable*; and *Thirdly*, Of the *duties* of trustees for payment of debts.

SECTION I.

OF THE VALIDITY OF THE TRUST.

1. A trust for payment of debts may be created either *by will* or *by act inter vivos*.¹

2. **Validity of a trust for payment of debts.** — A trust created *by will* for payment of debts out of *personal estate* is so far

¹ *Trusts for the payment of debts.* — A debtor may convey his property to a trustee, who shall use it in paying the debts of the former; *De Wolf v. Chapin*, 4 Pick. 59; *Clafin v. Maglaughlin*, 65 Pa. St. 492. The conveyance may be for the benefit of all creditors, or for the benefit of all assenting creditors, and is sometimes bipartite, sometimes tripartite in form. In some states preferences are allowed as at common law, in some they are not. There are generally some statutory provisions, controlling to a greater or less extent. *Hatch v. Smith*, 5 Mass. 42; *Beck v. Parker*, 65 Pa. St. 262; *Graham v. Anderson*, 42 Ill. 514; *Williams v. Brown*, 4 Johns. Ch. 682; *Tompkins v. Wheeler*, 16 Pet. 106. The statutory provisions, however, apply only to general assignments; *Henshaw v. Sumner*, 23 Pick. 446; *Bates v. Coe*, 10 Conn. 281; *Barker v. Hall*, 13 N. H. 298. A corporation like an individual may assign for the benefit of its creditors; *Flint v. Clinton Co.* 12 N. H. 431; *Bank v. Huth*, 4 B. Mon. 423; *Catlin v. Eagle Bank*, 6 Conn. 233; *McCallie v. Walton*, 37 Ga. 611; *Dana v. Bank of U. S.* 5 Watts & S. 223; but see *Loring v. U. S. Co.* 30 Barb. 644; *Beans v. Bullitt*, 57 Pa. St. 221. No particular form of assignment is required unless there is a statutory requirement; *Mussey v. Noyes*, 26 Vt. 462; *United States v. Bank of U. S.* 8 Rob. (La.) 202; *Bishop v. Harts' Trustees*, 28 Vt. 71; *Gordon v. Green*, 10 Ga. 534; *Page v. Weymouth*, 47 Me. 238; *Wallace v. Wainwright*, 87 Pa. St. 263. In some states the assent of creditors to the trust deed is not required, it being presumed; *Fellows v. Greenleaf*, 43 N. H. 421; *Gibson v. Rees*, 60 Ill. 383; *Stimpson v. Fries*, 2 Jones Eq. 156; *Tennant v. Stoney*, 1 Rich. Eq. 222; 44 Am. Dec. 213; while in others the creditors must either be parties to the assignment or at least assent to it; *Widgery v. Haskell*, 5 Mass. 144; *Pierce v. O'Brien*, 129 Mass.